Where the market is heading

- **Low penetration is the opportunity.** Africa's insurance penetration is 2.8% overall and below 1% excluding South Africa, yet at least six in ten Africans have a bank or mobile money account. Insurers can use mobile money and bank accounts as the way to reach people who have no cover.
- **Embedded insurance is the dominant growth model.** Insurance increasingly runs on fintech rails, with payments, digital lending, agri-finance and trade platforms becoming the main distribution channels, which lowers distribution costs. Embedded sales are reported to be outperforming agent-led sales.
- **Parametric (trigger-based) cover is moving out of pilots.** Climate and parametric products are expected to scale in 2026, then spread into cyber downtime, logistics delays and platform outages.
- **AI is already working in claims and fraud.** One industry report says South African insurers using AI saw fraud detection rise 35% and investigation times halve. I couldn't verify that independently.
- **Regulation is catching up.** Kenya, Uganda and Tanzania signed a memorandum to harmonise mobile insurance rules by 2026, and South Africa's FSCA has drafted digital insurance conduct standards.
- **From my earlier research:** insurers in Kenya and Ghana earn more from investments than from underwriting, which is risky as rates fall. Nigerian insurers are under recapitalisation pressure, and Discovery's Vitality (behaviour-linked pricing) is already paying off.

How an insurer can make money with tech and AI

1. **Cut claims leakage and fraud.** Use AI for claims triage, fraud scoring and photo-based motor assessment. This improves the underwriting result directly. That matters most for insurers like Britam, Jubilee and Enterprise, whose insurance service results are thin or volatile.
2. **Sell through partners, not agents.** Bundle cover with mobile money, lending, device financing, e-commerce and logistics, so insurance is activated at the point of need. You pay a partner commission instead of building a branch network. Telco and fintech deals are where the volume is.
3. **Price on behaviour and data.** Telematics for motor, wellness data for health and life, and satellite or weather data for agriculture. Discovery's Vitality Drive grew Insure

operating profit 34% in the latest half-year, and the same approach can be adapted for local markets.

4. **Launch low-ticket parametric products.** Examples are crop, livestock, flood, delayed-shipment and outage cover with automatic mobile-money payouts. Fast payouts build trust, and automated payouts keep admin costs low enough for small policies to be profitable.
5. **Automate servicing.** Chatbots (including local-language ones), digital onboarding and self-service renewals cut per-policy costs and lift renewals. This is what makes bottom-of-the-pyramid products profitable at all.
6. **Earn fees, not just premium.** Sell data, claims-automation or distribution platforms to other insurers, and grow asset management. Jubilee's external assets under management rose 150%, and Santam earns fee income from its administration businesses.
7. **Use AI on the balance sheet.** Better asset-liability modelling and reinsurance purchasing reduce earnings swings from interest-rate changes and FX moves, like the ones that hit Enterprise and AXA Mansard.

Risks

- Digital distribution can attract adverse selection if the data is weak.
- Mobile money rules and data protection rules differ by country.
- Cheap microinsurance only works at volume. Many pilots haven't scaled.
- Customers' trust depends on payouts actually arriving.

Most of the trend material comes from startup and industry-report sources, so treat the market-size and impact numbers as indicative. I can turn this into a one-page brief or slide for a specific country, such as Ghana, if that would help.